insurance companies, NPS, EPFO, etc.) to invest in the bonds of these DFIs and contribute some equity. Foreign ownership of these institutions should be freely permitted.

India has created a successful regulatory structure for insurance companies. It should now create a robust and successful regulatory structure for private-sector infrastructure and DFIs.

These institutions could be game changers for building India's $10 trillion economy.

The government announced the establishment of a government-owned DFI in Budget 2021–22. This was quite surprising considering that almost all government-owned DFIs have ended in failure after being engulfed with non-performing loans. Moreover, with the economy fast privatizing, long-term lending by a government-owned institution to private players is neither desirable nor efficient.

The National Bank for Financing Infrastructure and Development Act, 2021 (NABFID Act) has been enacted to establish the National Bank for Financing Infrastructure and Development to support the development of long-term non-recourse infrastructure financing in India, including development of bonds and derivatives markets necessary for infrastructure financing and to carry on the business of financing infrastructure and matters connected therewith. The NABFID Act ends up creating a framework for establishing a government-owned infrastructure financing institute to carry out development and financial functions for infrastructure financing. The idea of a government-owned DFI is quite wasteful and should be junked altogether.

Instead, the Act should be comprehensively overhauled to consolidate licensing and regulation of all infrastructure financing institutions, whether in housing finance or established as non-bank infrastructure financing companies or debt funds, under licence from RBI, or legacy sectoral infrastructure financing institutions like REC, PFC and others. This Act